SUMMARY OF THE 2022-2023 LOCAL AUTHORITY BUDGET

1.0 INTRODUCTION

Section 149(2) (a)&(d) of the Republican Constitution of Malawi provides mandate to the National Local Government Finance Committee (NLGFC) to receive all estimates of revenue and expenditure from all Local Government Authorities and to prepare a consolidated budget. In fulfillment of this constitutional mandate, the National Local Government Finance Committee has consolidated the 2022-2023 budget estimates for all the thirty-five (35) Local Government Authorities in Malawi. The consolidated Local Government Authorities approved budget estimates are presented in two budget documents as follows:

1.1 Consolidated Program Based Budget Estimates

This contains information presented at Program level for each Local Government Authority. It specifies the key results (outputs) to be achieved in the 2022-2023 financial year, what was achieved in the previous financial year(s) and the resources that have been earmarked for implementing functions that will produce those results. Each Local Government Authority uses standardized indicators for reporting results (outputs) to be achieved under each program. The standardization was done to ensure uniformity but also for easy tracking and reporting.

1.2 Consolidated Detailed Budget Estimates

This presents detailed financial budget estimates for all Local Government Authorities (LGA) at Vote, Cost Centre, Programme, Sub Programme and Item level. It includes a consolidated summary of all Local Government Authority votes, summaries by type of LGA and detailed estimates for each LGA.

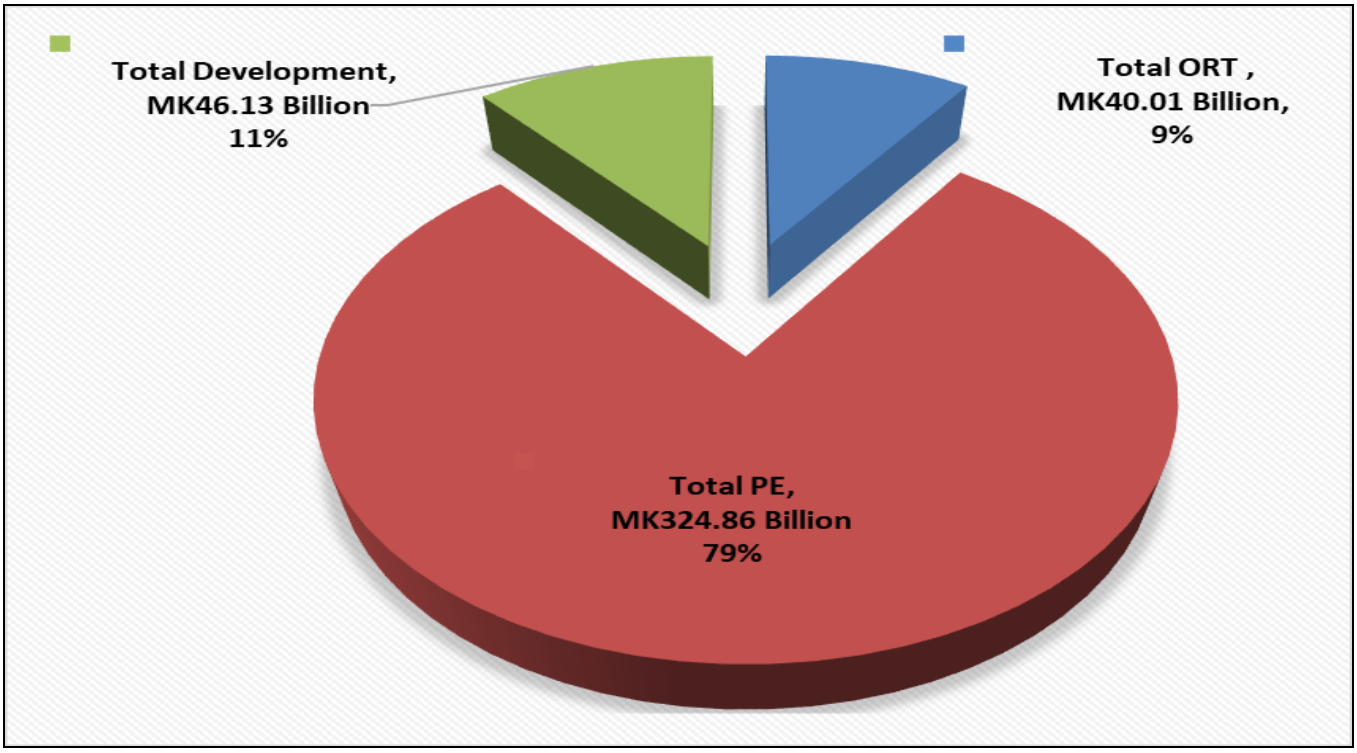
2.0 The 2022-2023 Local Authority Budget Outlook

The consolidated budget for Local Government Authorities comprises of financial resources from central government transfers and own source revenues. The following is the summary of the budget estimates presented according to the category of the revenue source:

2.1 Central Government Transfers

These comprise of resources from Other Recurrent Transactions (ORT), Development/Capital Budget and Personnel Emoluments. The **2022/2023** LGA budget is estimated at **MK 411.01 billion** representing a 31% favorable variance over the approved budget of **2021/2022** financial year which was estimated at **K282.52 billion**. Personal Emoluments comprise a major part of the budget estimated at **MK324.86 billion** as indicated in figure 1 below:

Figure 1: Composition of the 2022-2023 Central Government Transfers



2.1.1 Other Recurrent Transactions (ORT)

This comprises of devolved sector grants and the General Resource Fund. Currently the following **18 sectors** have devolved their functions to Local Governments: Agriculture, Education, Health, Gender, Community Development, Youth, Sports, Housing, Trade, Water, Environment, Forestry, Fisheries, National Registration Bureau, Labour, Immigration, Irrigation and Disaster.

The General Resource Fund is an unconditional grant that is used for implementation of the following:

- Other Recurrent Transaction (ORT) funded activities for Council Secretariat Directorates (e.g. Planning, Finance, Public Works, Administration etc.);
- Councilors' functions (including payment of honoraria and holding of council meetings); and
- Chief's expenses.

The overall ORT budget estimates variance is 34% when compared to the 2021/2022 approved nine (9) months budget as indicated in table 1 below. The favorable variance is for the General Resource Fund which has gone up by 60%. The budgets for devolved sectors have a variance of 33% because of the change of government 12month FY from 9months the previous FY while the budget for Education and Health Sector Covid response has not changed.

Table 1: Sector Other Recurrent Transactions (ORT) and General Resource Fund (GRF) (MK)

Name of Sector/Fund	2022-2023 Budget Estimate	2021-2022 Approved Budget	Percentage Variance
Agriculture	1,891,513,963	1,418,990,220	33%
Education	11,750,384,800	8,814,992,348	33%
Education Covid	3,200,000,000	3,200,000,000	0%
Health	10,381,881,573	7,788,358,269	33%
Health- Covid	2,720,000,000	2,720,000,000	0%
Health – Devolved Drug	1,565,973,000-		-
Gender	271,731,288	203,849,428	33%
Community Development	271,731,288	203,849,428	33%
Youth	203,798,465	152,887,071	33%
Sports	194,093,776	145,606,734	33%
Housing	203,798,466	152,887,071	33%
Trade	203,798,466	152,887,701	33%
Water	242,617,221	182,008,418	33%
Environment	205,720,115	154,328,669	33%
Forestry	203,798,465	152,887,071	33%
Fisheries	203,798,465	152,887,071	33%
National Registration Bureau	268,496,391	201,422,649	33%
Labour	271,731,288	203,849,428	33%
Immigration	271,731,288	203,849,428	33%
Irrigation	271,731,288	203,849,428	33%
Disaster	1173658512	880,464,000	33%
All Devolved Sectors	**35,971,988,118**	**27,289,854,432**	**38%**
General Resource Fund	4,040,121,236	2,526,497,593	60%
Total ORT	**40,012,109,354**	**29,816,352,025**	**34%**

2.1.2 Development Budget

The budget for locally funded projects consists of the District Development Fund (DDF), Constituency Development Fund, Infrastructure Development Fund (IDF), Water Structures Fund and funds for Construction of City Roads (see Table 2 below). As indicated in table 3 below, the total **2022-2023** capital budget has gone up to **MK46.13 billion** representing a 20% increase from the previous year's budget of **MK37.75 billion.** The only fund that has substantially increased is the Constituency Development Fund, which was previously being categorized as ORT.

Table 2: Development Budget

Name of Fund	2022-2023 Budget Estimate	2021-2022 Approved Budget	% Increase (decrease)
Constituency Development Fund	19,300,000,000	7,720,000,000	150%
District Development Fund	4,067,813,695	2,803,397,376	45%
Infrastructure Development Fund	810,509,438	607,882,079	33%
Water Structures Fund	2,316,000,000	2,316,000,000	0%
Dualization of Chileka –Blantyre Road	1,000,000,000	1,000,000,000	0%
Construction of City Roads	18,640,000,000	23,300,000,000	-20%
Total	**46,134,323,133**	**37,747,279,455**	**22%**

The resources for construction of city roads have been allocated as indicated in Table 3 below:

Table 3: City Roads Construction Fund Approved Projects

Name of Council	Name of Project	Amount (MK)
Blantyre City	Rehabilitation of Chipatala Avenue-Kamba (1.2Km)	584,000,000
	Rehabilitation of Lali Lubani Road across Masauko Chipembere Highway via Malawi Polytechnic Village-Kenyatta Drive (1.7Km)	648,000,000
	Rehabilitation of Namiwawa-Sunnyside (Bankroad and Smythe Road) – 2Km	768,000,000
	Upgrading to asphalt surface of Michiru Road – Likhubula (Black box) – 1.5 Km	600,000,000
	Upgrading to asphalt surface of Nkolokoti Road (Makhetha) – 5 Km	1,420,000,000
	Upgrading to asphalt surface of Newlands-Manje via Chiwembe Road – 2 Km	720,000,000
	Upgrading to asphalt surface of Old Zomba Road – Mapanga (4.2 Km)	1,380,000,000
	Total	**6,120,000,000**
Lilongwe City	Rehabilitation of Area 49 Old Gulliver – Kaunda Road (2.5 Km)	720,000,000
	Rehabilitation of Mchesi-Area 23 (5Km)	1,400,000,000
	Upgrading to asphalt surface of Area 25– Dzenza (3.3Km)	800,000,000
	Upgrading to asphalt surface of Biwi-Penyenye-Area 38 (6 Km)	1,600,000,000
	Upgrading to asphalt surface of Mtandire – Old Airport Airwing (6 Km)	1,600,000,000
	Total	**6,120,000,000**
Mzuzu City	Upgrading to asphalt surface of Dunduzu – Mzuzu Academy (7Km)	1,200,000,000
	Upgrading to asphalt surface of Dunduzu – NOCMA fuel reserves (6 Km)	1,400,000,000
	Upgrading to asphalt surface of Mzuzu Government– Luwinga (6.5 Km)	600,000,000
	Total	**3,200,000,000**
Zomba City	Rehabilitation and upgrading of Kalimbuka Road (2.5Km)	800,000,000
	Rehabilitation and upgrading of Namiwawa Road Dual Carriage Way-800m	560,000,000
	Rehabilitation and upgrading of Sadzi Road (1.2Km)	400,000,000
	Thundu Road (2Km)	760,000,000
	Upgrading and Rehabilitation of Namiwawa Road Extension (SRWB Junction to Mpunga Market) – 2.5 Km	680,000,000
	Total	**3,200,000,000**

2.1.3 Personnel Emoluments

The Personnel Emoluments budget is made up of funds for salaries, leave grants and other allowances for Local Government Authority for central government paid staff and sector staff of Health, Education and Agriculture.

The Personal Emoluments budget for 2022-2023 is **K339.3billion** against a total ceiling of **K324.9billion**. The **MK14billion** difference is as a result of the inclusion of additional personnel that Councils anticipate to recruit following an authority to fill some of the vacancies by DHRMD.

Table 4: Comparison of Personal Emoluments Estimates (MK)

Budget Category	2022-23 Budget Estimate	2021-22 Approved Budget	Percentage Change
Total Personal Emoluments	339,299,488,196	214,958,198,195	58%

2.2 Locally Generated Revenues

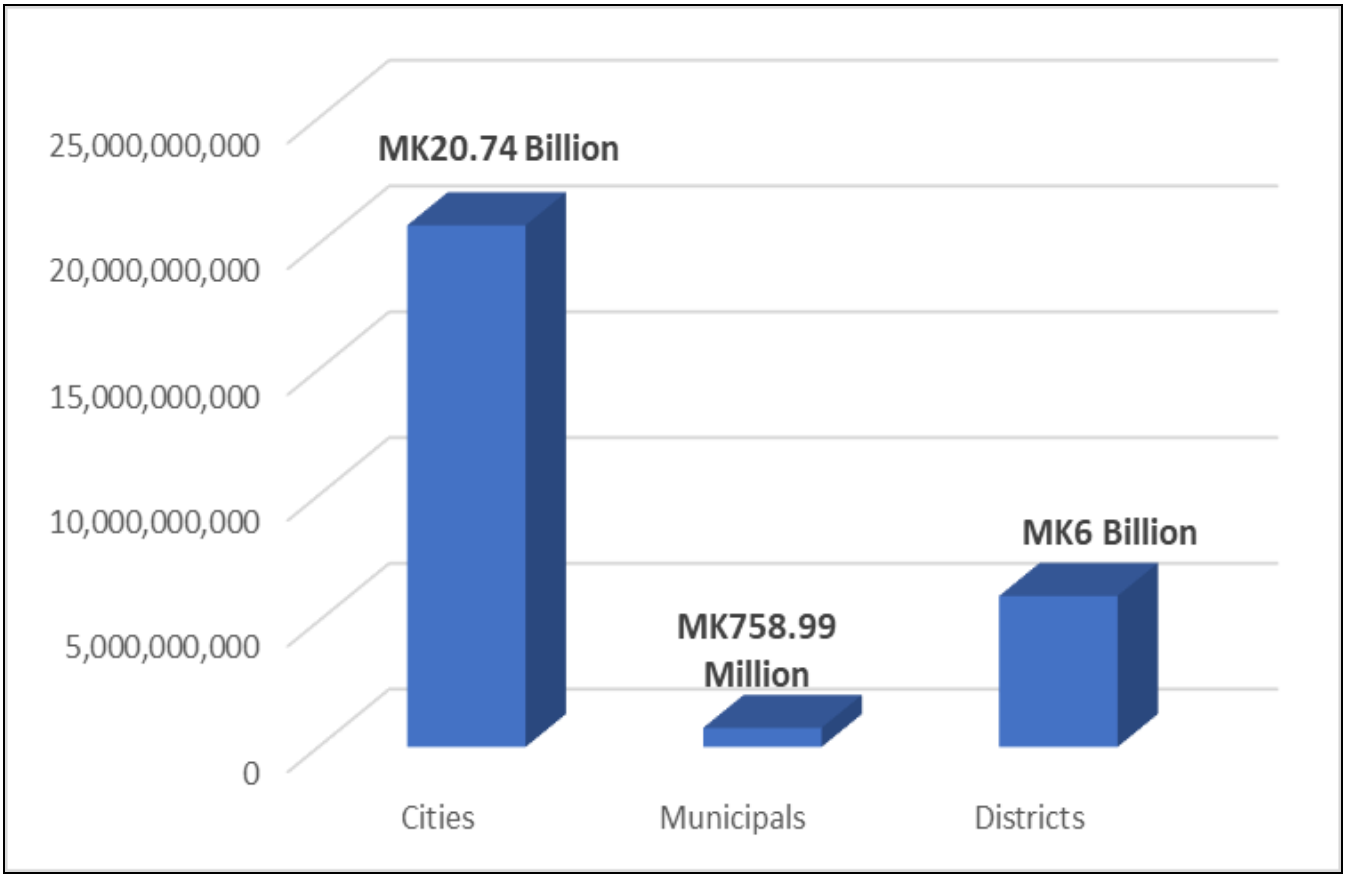
Locally generated revenues are one of the main sources of financing for Local Government Authorities as provided in section 44(1) of the Local Government Act, 1998. The 2022-23 budget for locally generated revenue has slightly gone up by 23% **(27.5 billion)** when compared to **MK22.31 billion** for the 2021-2022 financial year. Table 5 presents a summary of the local revenue budget:

Table 5: Summary of 2022-2023 Budget Estimates for Local Revenue

Type of LGR	2022-23 Budget Estimate	2021-22 Approved Budget	% Increase
Central Government Property Rates	580,850,270	435,637,704	33%
Other Property Rates	11,347,059,962	9,322,499,094	22%
Income from Market Establishments	4,101,797,852	3,110,495,311	32%
Fees and Service Charges	6,500,638,447	5,709,521,098	14%
Licenses and Permits	4,099,186,033	3,229,208,132	27%
Income from Commercial Undertakings	868,583,182	497,315,960	75%
Total Locally Generated Revenues	27,498,116,015	22,304,799,299	23%

City Councils contribute the biggest share (75%) to the Local Revenue Budget as indicated in figure 2 below:

Figure 2: 2022-23 Local Revenue Budget by Council Type



3.0 Summary of 2022-23 Budget Estimate for Local Authorities

The following is the summary of 2022/23 budget estimates for Local Government Authorities for the resources that will be spent at Council level. This excludes the estimates for Personal Emoluments which are still spent at central government level.

Table 6: Summary of Council Budget Estimates for 2022/23 Financial Year (MK)

NAME OF COUNCIL	TOTAL ORT	TOTAL CAPITAL	TOTAL LOCALLY GENERATED REVENUE	TOTAL BUDGET FOR THE COUNCIL
City Councils				
Blantyre	530,685,375	8,187,234,388	10,012,640,111	18,730,559,874
Lilongwe	552,497,669	6,739,234,388	7,276,442,569	14,568,174,626
Mzuzu	282,497,672	3,483,234,388	2,497,300,000	6,263,032,060
Zomba	155,796,100	3,483,234,388	950,982,883	4,590,013,371
Sub-total	1,521,476,815	21,892,937,553	20,737,365,563	44,151,779,931
Municipal Councils				
Kasungu	44,463,438	22,831,252	282,757,015	350,051,705
Luchenza	43,275,744	22,831,252	103,248,641	169,355,637
Mangochi	48,061,009	22,831,252	372,984,641	443,876,902
Sub-total	135,800,190	68,493,755	758,990,297	963,284,244
District Councils				
Balaka	1,141,291,557	598,966,550	256,455,952	1,996,714,059
Blantyre	1,785,005,445	671,781,175	335,000,000	2,791,786,620
Chikwawa	1,347,465,327	847,000,227	141,800,000	2,336,265,554
Chiradzulu	995,461,124	671,945,305	113,920,500	1,781,326,929
Chitipa	964,650,957	669,050,965	85,244,372	1,718,326,929
Dedza	1,693,110,507	1,095,370,092	291,320,387	3,079,800,986
Dowa	1,529,036,867	950,986,174	316,856,000	2,796,879,041
Karonga	1,086,493,931	688,291,049	289,756,458	2,064,541,438
Kasungu	1,859,526,136	1,175,687,494	90,616,882	3,125,830,512
Likoma	261,154,100	166,382,383	10,057,000	437,593,483
Lilongwe	3,276,498,101	2,294,705,218	751,949,300	6,323,152,619
Machinga	1,366,519,747	966,912,635	239,830,154	2,573,262,536
Mangochi	1,996,178,675	1,577,331,985	236,605,000	3,810,115,660
Mchinji	1,354,780,812	828,752,764	141,435,197	2,324,968,773
M'mbelwa	2,538,500,710	1,429,512,447	368,000,000	4,336,013,157
Mulanje	1,491,274,037	1,182,333,156	566,031,200	3,239,638,393
Mwanza	661,345,581	327,350,175	84,645,500	1,073,341,256
Neno	727,690,448	354,834,500	76,800,000	1,159,324,948
Nkhatabay	1,192,979,191	767,886,220	114,534,000	2,075,399,411
Nkhotakota	1,231,437,244	669,023,283	231,864,200	2,132,324,727
Nsanje	999,344,255	708,444,520	103,635,000	1,811,423,775
Ntcheu	1,506,164,994	925,031,931	400,000,000	2,831,196,925
Ntchisi	956,188,527	549,967,641	52,460,000	1,558,616,168
Phalombe	1,040,501,914	700,974,306	63,399,200	1,804,875,420
Rumphi	983,873,376	542,051,101	118,074,000	1,643,998,477
Salima	1,185,862,937	693,466,128	223,040,075	2,102,369,140
Thyolo	1,555,287,076	943,186,577	161,264,608	2,659,738,261
Zomba	1,627,208,771	1,175,665,824	137,165,250	2,940,039,845
Sub-total	38,354,832,350	24,172,891,824	6,001,760,235	68,529,484,407
Total	40,012,109,355	46,134,323,133	27,498,116,015	113,644,548,582

4.0 Other Resources

Local Government Authorities have been allocated other resources that are in the vote of the National Local Government Finance Committee as follows:

4.1 Drug Budget

The drug budget resources are used by the District Hospitals but they are appropriated under the NLGFC Vote. The details in terms of the allocation of the drug budget per district council is presented in table 7 below:

Table 7: 2022-2023 DISTRICT COUNCILS DRUG BUDGET (MK)

VOTE	COUNCIL NAME	Allocation for Purchase of Blood and Blood Products (MBTS)	(90% Allocation for CMST)	10% Allocation for DHOs	Final 2022-23 Budget Ceiling
901	Balaka District	54,690,000	367,110,816	40,790,091	462,590,906
902	Blantyre District	-	970,709,231	107,856,581	1,078,565,813
903	Chikwawa District	38,250,000	480,170,194	53,352,244	571,772,438
904	Chiradzulu District	28,590,000	419,817,263	46,646,363	495,053,625
905	Chitipa District	22,890,000	314,171,831	34,907,981	371,969,813
906	Dedza District	23,160,000	658,833,075	73,203,675	755,196,750
907	Dowa District	22,680,000	573,576,863	63,730,763	659,987,625
908	Karonga District	32,340,000	312,160,922	34,684,547	379,185,469
909	Kasungu District	31,080,000	602,859,713	66,984,413	700,924,125
910	Likoma District	-	90,930,263	10,103,363	101,033,625
911	Lilongwe District	54,270,000	1,381,730,822	153,525,647	1,589,526,469
912	Machinga District	56,070,000	426,792,797	47,421,422	530,284,219
913	Mangochi District	87,120,000	711,868,163	79,096,463	878,084,625
914	Mchinji District	15,780,000	480,207,403	53,356,378	549,343,781
915	Mzimba North	-	271,105,313	30,122,813	301,228,125
915	Mzimba South	27,180,000	507,873,375	56,430,375	591,483,750
916	Mulanje District	42,930,000	558,569,672	62,063,297	663,562,969
917	Mwanza District	30,480,000	252,870,103	28,096,678	311,446,781
918	Neno District	28,380,000	298,932,356	33,214,706	360,527,063
919	Nkhata Bay District	26,370,000	292,778,972	32,530,997	351,679,969
920	Nkhotakota District	15,240,000	504,343,884	56,038,209	575,622,094
921	Nsanje District	25,770,000	341,690,991	37,965,666	405,426,656
922	Ntcheu District	48,300,000	536,843,869	59,649,319	644,793,188
923	Ntchisi District	30,060,000	292,277,616	32,475,291	354,812,906
924	Phalombe District	-	391,161,994	43,462,444	434,624,438
925	Rumphi District	24,390,000	309,814,706	34,423,856	368,628,563
926	Salima District	28,770,000	427,112,747	47,456,972	503,339,719
927	Thyolo District	45,480,000	638,549,241	70,949,916	754,979,156
928	Zomba District	-	678,892,809	75,432,534	754,325,344
	Total	**840,270,000**	**14,093,757,000**	**1,565,973,000**	**16,500,000,000**

4.2 Budget for GESD Performance Based Grant

District Councils will receive an estimated **MK11.9 billion** for implementation of development projects under the World Bank funded Governance to Enable Service Delivery (GESD) project. The allocation of resources under this project considers performance of councils and the final allocation will be done after finalizing results of the Local Authority Performance Assessment and Triggers. **See table 8**

Table 8: GESD LAs PGB Ceiling for 2022-2023 Financial Year

No.	Name of Council	Amount
1	Balaka	379,088,801.45
2	Blantyre	278,305,551.86
3	Chikwawa	476,126,872.52
4	Chiradzulu	284,453,276.51
5	Chitipa	251,093,000.31
6	Dedza	622,619.914.63
7	Dowa	529,700,358.54
8	Karonga	289,683,623.01
9	Kasungu	649,591,965.54
10	Likoma	42,909,699.85
11	Lilongwe	1,080,078,217.80
12	Machinga	603,577,166.37
13	Mangochi	802,834,107.88
14	Mchinji	400,845,132.43
15	M'mbelwa	659,719,692.84
16	Mulanje	623,973,060.94
17	Mwanza	116,461,784.71
18	Neno	134,865,355.90
19	Nkhatabay	274,927,580.95
20	Nkhotakota	337,449,491.09
21	Nsanje	240,708,759.06
22	Ntcheu	464,880,707.77
23	Ntchisi	227,052,410.72
24	Phalombe	458,291,317.46
25	Rumphi	216,328,296.64
26	Salima	371,095,354.84
27	Thyolo	569,849,540.08
28	Zomba	495,760,618.30
TOTAL		11,882,271,660.00

5.0 CONCLUSION

The National Local Government Finance Committee (NLGFC) would like to appeal for more support from all stakeholders to the Fiscal Decentralisation process so that coordinated and effective guidance is provided to Local Authorities to enhance accountability and improved service delivery to the communities in the budget implementation process.

Kondwani Santhe, PhD., FCCA

ACTING EXECUTIVE DIRECTOR

Annex 1: Local Authority Development Budget For 2022-23 Financial Year (MK)

NAME OF COUNCIL	Constituency Development Fund	Water Structures Fund	District Development Fund	Infrastructure Development Fund	Construction of City Roads	GESD – PBG	Total 2022-23 Budget
City Councils							
Blantyre	800,000,000	96,000,000	-	171,234,388	6,120,000,000	-	7,659,234,388
Lilongwe	400,000,000	48,000,000	-	171,234,388	6,120,000,000	-	6,211,234,388
Mzuzu	100,000,000	12,000,000	-	171,234,388	3,200,000,000	-	4,943,234,388
Zomba	100,000,000	12,000,000	-	171,234,388	3,200,000,000	-	3,079,234,388
Sub-total	**1,400,000,000**	**168,000,000**	**-**	**684,937,553**	**18,640,000,000**	**-**	**21,892,937,552**
Municipal Councils							
Kasungu	-	-	-	22,831,252	-	-	22,831,252
Luchenza	-	-	-	22,831,252	-	-	22,831,252
Mangochi	-	-	-	22,831,252	-	-	22,831,252
Sub-total	**-**	**-**	**-**	**68,493,755**	**-**	**-**	**68,493,756**
District Councils							
Balaka	400,000,000	48,000,000	139,550,924	11,415,626	-	377,028,313	941,369,446
Blantyre	500,000,000	60,000,000	111,781,175	-	-	278,305,551.86-	922,351,548
Chikwawa	600,000,000	72,000,000	175,000,227	-	-	472,693,730	1,276,272,848
Chiradzulu	500,000,000	60,000,000	111,945,305	-	-	284,499,590	928,668,993
Chitipa	500,000,000	60,000,000	109,050,965	-	-	255,639,225	827,632,432
Dedza	800,000,000	96,000,000	187,954,466	11,415,626	-	622,238,952	1,670,973,726
Dowa	700,000,000	84,000,000	166,986,174	-	-	527,853,121	1,437,406,636
Karonga	500,000,000	60,000,000	116,875,423	11,415,626	-	287,996,779	947,288,663
Kasungu	900,000,000	108,000,000	167,687,494	-	-	633,992,985	1,768,073,808
Likoma	100,000,000	12,000,000	54,382,383	-	-	42,808,835	195,697,845
Lilongwe	1,800,000,000	216,000,000	278,705,218	-	-	1,081,679,032	3,307,231,827
Machinga	700,000,000	84,000,000	171,497,009	11,415,626	-	599,225,036	1,523,585,782
Mangochi	1,200,000,000	144,000,000	233,331,985	-	-	822,596,632	2,342,034,214

NAME OF COUNCIL	Constituency Development Fund	Water Structures Fund	District Development Fund	Infrastructure Development Fund	Construction of City Roads	GESD – PBG	Total 2022-23 Budget
Mchinji	600,000,000	72,000,000	156,752,764	-	-	398,228,514	1,118,087,735
M'mbelwa	1,100,000,000	132,000,000	197,512,447	-	-	654,102,532	2,034,608,132
Mulanje	900,000,000	108,000,000	174,333,156	-	-	616,161,879	1,755,239,440
Mwanza	200,000,000	24,000,000	103,350,175	-	-	120,533,902	422,240,800
Neno	200,000,000	24,000,000	130,834,500	-	-	136,741,246	459,113,050
Nkhatabay	600,000,000	72,000,000	95,886,220	-	-	268,325,606	1,012,420,508
Nkhotakota	500,000,000	60,000,000	109,023,283	-	-	339,120,830	981,093,223
Nsanje	500,000,000	60,000,000	148,444,520	-	-	238,787,501	910,399,922
Ntcheu	700,000,000	84,000,000	141,031,931	-	-	464,880,707.77-	1,354,919,754
Ntchisi	400,000,000	48,000,000	101,967,641	-	-	226,242,612	750,910,011
Phalombe	500,000,000	60,000,000	140,974,306	-	-	459,828,763	1,125,824,482
Rumphi	400,000,000	48,000,000	94,051,101	-	-	215,146,675	733,861,788
Salima	500,000,000	60,000,000	122,050,502	11,415,626	-	373,401,757	1,036,584,678
Thyolo	700,000,000	84,000,000	159,186,577	-	-	572,439,220	1,476,128,376
Zomba	900,000,000	108,000,000	167,665,824	-	-	492,353,836	1,626,418,366
Sub-total	**17,900,000,000**	**2,148,000,000**	**4,067,813,695**	**57,078,130**	**-**	**11,882,271,660.00**	**35,045,856,330**
Total	**19,300,000,000**	**2,316,000,000**	**4,067,813,695**	**810,509,438**	**19,640,000,000**	**11,882,271,660.00**	**57,007,287,638**